Problem 5.1 Worksheet, financial statements and closing entries

The unadjusted trial balance of Secretarial Services is as follows:

SECRETARIAL SERVICES
Unadjusted Trial Balance
as at 31 December 2017

Account	Debit	Credit
Cash at bank	$ 6 200	
Office supplies	7 260	
Prepaid insurance	1 725	
Office equipment	82 800	
Accumulated depreciation – office equipment		$ 14 600
Bank loan payable (non-current)		50 000
V. Prim, Capital		15 540
V. Prim, Drawings	27 000	
Secretarial services revenue		126 500
Salaries expense	63 250	
Advertising expense	2 250	
Repairs expense	1 260	
Sundry expense	7 520	
Electricity expense	3 405	
Telephone expense	2 620	
Interest on bank loan expense	1 350	
	$206 640	$206 640

The following additional information should be taken into account:
1. *Office supplies unused at 31 December 2017 amount to $2320.*
2. *Unexpired insurance at 31 December 2017 is $540.*
3. *Office equipment is to be depreciated by $7400.*
4. *Salaries accrued but unrecorded on 31 December, $260.*
5. *Electricity accrued and unpaid, $830.*
6. *On 31 December, telephone charges of $425 have accrued but are unrecorded and unpaid.*
7. *Interest accrued on bank loan at 31 December was $250.*

Required

A. Prepare adjusting and closing entries

B. Prepare an income statement for the year ended 31 December 2017 and a balance sheet as at 31 December 2017. (A worksheet may be prepared to assist but it is not necessary.)

2025. Further circulation disallowed.

A.

SECRETARIAL SERVICES
Worksheet:
for year ended 31 December 2017

Account title	Unadjusted Trial Balance		Adjustments		Adjusted Trial Balance		Income Statement		Balance sheet	
	Debit	Credit	Debit	Credit	Debit	Credit	Debit	Credit	Debit	Credit
Cash at Bank	6 200				6 200				6 200	
Office Supplies	7 260			1) 4 940	2 320				2 320	
Prepaid Insurance	1 725			2) 1 185	540				540	
Office Equipment	82 800				82 800				82 800	
Acc. Depr.– Office Equip.		14 600		3) 7 400		22 000				22 000
Bank Loan Payable		50 000				50 000				50 000
V. Prim, Capital		15 540				15 540				15 540
V. Prim, Drawings	27 000				27 000				27 000	
Secretarial Services Rev.		126 500				126 500		126 500		
Salaries Expense	63 250		4) 260		63 510		63 510			
Advertising Expense	2 250				2 250		2 250			
Repairs Expense	1 260				1 260		1 260			
Sundry Expense	7 520				7 520		7 520			
Electricity Expense	3 405		5) 830		4 235		4 235			
Telephone Expense	2 620		6) 425		3 045		3 045			
Interest Expense	1 350		7) 250		1 600		1 600			
	206 640	206 640								
Office Supp. Expense			1) 4 940		4 940		4 940			
Insurance Expense			2) 1 185		1 185		1 185			
Depr. Exp. – Office equip.			3) 7 400		7 400		7 400			
Salaries Payable				4) 260		260				260
Electricity Payable				5) 830		830				830
Telephone Payable				6) 425		425				425
Interest Payable				7) 250		250				250
			15 290	15 290	215 805	215 805	96 945	126 500	118 860	89 305
Profit for the period							29 555			29 555
							126 500	126 500	118 860	118 860

2025. Further circulation disallowed.

B.

SECRETARIAL SERVICES Income Statement for the year ended 31 December 2017		
INCOME		
Secretarial services revenue		$126 500
EXPENSES		
Salaries expense	$63 510	
Advertising expense	2 250	
Repairs expense	1 260	
Sundry expense	7 520	
Electricity expense	4 235	
Telephone expense	3 045	
Interest expense	1 600	
Office supplies expense	4 940	
Insurance expense	1 185	
Depreciation expense – office equip.	7 400	
		96 945
PROFIT		$29 555

2025. Further circulation disallowed.

SECRETARIAL SERVICES Balance Sheet as at 31 December 2017		
CURRENT ASSETS		
Cash at bank	$6 200	
Prepaid insurance	540	
Office supplies	2 320	$9 060
NON-CURRENT ASSETS		
Office equipment	82 800	
Less. Accumulated depreciation	(22 000)	60 800
TOTAL ASSETS		$69 860
CURRENT LIABILITIES		
Salaries payable	260	
Electricity payable	830	
Telephone payable	425	
Interest payable	250	1 765
NON-CURRENT LIABILITIES		
Bank loan payable	50 000	50 000
TOTAL LIABILITIES		51 765
NET ASSETS		$18 095
EQUITY		
V Prim, Capital		$18 095
TOTAL EQUITY		$18 095

2025. Further circulation disallowed.

Problem 5.4 **Worksheet, financial statements and closing entries**

The ledger of Catherine Delaney, Financial Consultant, contains the following account balances on 30 June 2017.

Account	Debit	Credit
Cash at Bank	$ 5 200	
Accounts Receivable	9 260	
GST Receivable	920	
Office Supplies	1 140	
Land	60 000	
Building	152 000	
Accumulated Depreciation – Building		$ 64 000
Office Equipment	23 400	
Accumulated Depreciation – Office Equipment		6 420
Accounts Payable		7 960
Unearned Consulting Fees		1 560
GST Payable		2 000
Mortgage Payable		88 600
C. Delaney, Capital		71 490
C. Delaney, Drawings	52 780	
Consulting Fees Revenue		156 860
Insurance Expense	1 660	
Salaries Expense	87 940	
Electricity Expense	760	
Interest Expense	2 090	
Telecommunications Expense	1 740	
	$398 890	$398 890

The following additional account titles are included in the chart of accounts:
Prepaid Insurance
Telecommunications Expense Payable
Office Supplies Expense
Depreciation Expense – Buildings
Depreciation Expense – Office Equipment
Interest Payable
Salaries Payable

The following information is also available:

1. *A physical count of office supplies reveals that supplies totalling $420 are on hand at 30 June.*
2. *The balance in the Unearned Consulting Fees account includes $1200 earned for services rendered in the last week of June.*
3. *Estimated depreciation on the office equipment is $2140. Depreciation on the building is $8760.*
4. *A 12-month insurance policy was purchased on 1 April for $780 plus GST.*
5. *The June monthly mortgage payment of $900 has not been paid or recorded. In each payment, $220 is attributable to interest.*
6. *The June telecommunications costs for $320 are unrecorded. No tax invoice has been received.*
7. *Salaries of $980 were owing to employees at 30 June 2017.*

Required

A. Prepare a 10-column worksheet for the year ended 30 June 2017.
B. Prepare the income statement, balance sheet and statement of changes in equity.
C. Journalise the closing entries.

2025. Further circulation disallowed.

2025. Further circulation disallowed.

A. **CATHERINE DELANEY, FINANCIAL CONSULTANT Worksheet for the year ended 30 June 2017**

	Unadjusted trial balance		Adjustments		Adjusted trial balance		Income statement		Balance sheet	
Account title	**Debit**	**Credit**	**Debit**	**Credit**	**Debit**	**Credit**	**Debit**	**Credit**	**Debit**	**Credit**
Cash at Bank	5 200				5 200				5 200	
Accounts Receivable	9 260				9 260				9 260	
GST Receivable	920				920				920	
Office Supplies	1 140			(1) 720	420				420	
Land	60 000				60 000				60 000	
Building	152 000				152 000				152 000	
Acc. Depr. Building		64 000		(3) 8 760		72 760				72 760
Office Equipment	23 400				23 400				23 400	
Acc. Depr. Office Equip.		6 420		(3) 2 140		8 560				8 560
Accounts Payable		7 960				7 960				7 960
GST Payable		2 000				2 000				2 000
Unearned Consulting Fees		1 560	(2) 1 200			360				360
Mortgage Payable		88 600				88 600				88 600
C. Delaney, Capital		71 490				71 490				71 490
C. Delaney, Drawings	52 780				52 780				52 780	
Consulting Fees Revenue		156 860		(2) 1 200		158 060		158 060		
Insurance Expense	1 660			(4) 585	1075		1075			
Salaries Expense	87 940		(7) 980		88 920		88 920			
Electricity Expense	760				760		760			
Interest Expense	2 090		(5) 220		2 310		2 310			
Telecommunications Expense	1 740		(6) 320		2 060		2 060			
	$398 890	$398 890								
Office Supplies Expense			(1) 720		720		720			
Depr. Exp. Building			(3) 8 760		8 760		8 760			
Depr. Exp. – Office Equip.			(3) 2 140		2 140		2 140			
Prepaid Insurance			(4)585		585				585	
			195							
Interest Payable				(5) 220		220				220
Telecomm. Expense Payable				(6) 320		320				320
Salaries Payable				(7) 980		980				980
			14925	14 925	411 310	411 310	106745	158 060	304 565	253 250
Profit for the year							51315			51315
							158 060	158 060	304 565	304 565

2025. Further circulation disallowed.

B.

CATHERINE DELANEY, FINANCIAL CONSULTANT Income Statement for the year ended 30 June 2017		
INCOME		
Consulting fees revenue		$158 060
EXPENSES		
Office supplies expense	$720	
Depreciation expense – building	8 760	
Depreciation expense – office equipment	2 140	
Insurance expense	1075	
Salaries expense	88 920	
Electricity expense	760	
Interest expense	2 310	
Telecommunications expense	2 060	
Total Expenses		106745
PROFIT		$51315

CATHERINE DELANEY, FINANCIAL CONSULTANT Statement of Changes in Equity for the year ended 30 June 2017	
C. Delaney, Capital – 1 July 2016	$71 490
Profit for the year	51315
	$122 415
Drawings during the year	(52 780)
C. Delaney, Capital – 30 June 2017	$70025

2025. Further circulation disallowed.

CATHERINE DELANEY, FINANCIAL CONSULTANT
Balance Sheet
as at 30 June 2017

CURRENT ASSETS			
Cash at bank		$5 200	
Accounts receivable		9 260	
Prepaid insurance		585	
Office supplies		420	$15465
NON-CURRENT ASSETS			
Land		60 000	
Building	$152 000		
Less: Accum. depr. – building	(72 760)	79 240	
Office equipment	23 400		
Less: Accum. depr. office equip.	(8 560)	14 840	154 080
TOTAL ASSETS			$169545
CURRENT LIABILITIES			
Accounts payable		7 960	
Unearned consulting fees		360	
GST payable		1 080	
Interest payable		220	
Telecommunications expense payable		320	
Salaries payable		980	
Current portion of mortgage payable*		8 840	19 760
NON-CURRENT LIABILITIES			
Mortgage payable			79 760
TOTAL LIABILITIES			99 520
NET ASSETS			70025
EQUITY			
C. Delaney, Capital			$70025
TOTAL EQUITY			$70025

* Current portion of mortgage payable = 13 months × ($900 – $220) per month.

2025. Further circulation disallowed.

C.

General Journal
Closing entries

Consulting Fees Revenue	158 060	
Profit or Loss Summary		158 060
Close revenue accounts		
Profit or Loss Summary		
	106745	
Office Supplies Expense		720
Depreciation Expense – Building		8 760
Depreciation Expense – Office Equipment		2 140
Insurance Expense		1075
Salaries Expense		88 920
Electricity Expense		760
Interest Expense		2 310
Telecommunications Expense		2 060
Close expense accounts		
Profit or Loss Summary	51315	
C. Delaney, Capital		51315
Transfer profit to capital		
C. Delaney, Capital	52 780	
C. Delaney, Drawings		52 780
Close drawings to capital		

2025. Further circulation disallowed.

Problem 5.5 **Preparation of worksheet, financial statements and closing entries**

The ledger of P. Oodle, Veterinary Surgeon, contains the accounts and account balances shown below on 30 June 2016:

Account	Debit	Credit
Cash at Bank	$ 12 600	
Accounts Receivable	11 800	
Prepaid Insurance	1 800	
Land	180 200	
Building	196 000	
Accumulated Depreciation – Building		$86 900
Equipment	32 300	
Accumulated Depreciation – Equipment		8 800
Accounts Payable		16 400
Mortgage Payable		64 000
P. Oodle, Capital		236 950
P. Oodle, Drawings	86 500	
Fees Earned		262 430
Rent Revenue		14 400
Salaries Expense	124 600	
Telephone Expense	4 520	
Interest Expense	3 080	
Insurance Expense	36 480	
	$689 880	$689 880

The following account titles are included in the chart of accounts:
Interest Payable
Salaries Payable
Rates Payable
Unearned Fees
Depreciation Expense – Building
Depreciation Expense – Equipment
Rates Expense

The following information has not yet been recorded:

1. *Rates owing at 30 June, $4820.*
2. *Depreciation on the equipment is $3680. Depreciation on the building is $9600.*
3. *An advance fee payment of $600 for minor surgery to be performed in July 2016 was credited to Fees Earned.*
4. *The mortgage contract provides for a monthly payment of $1000 plus accrued interest. The June payment was not made. Interest of $260 is accrued on the mortgage.*
5. *Prepaid insurance of $1340 has expired.*
6. *Salaries earned but not paid amount to $2360.*

Required

A. Prepare a 10-column worksheet for the year ended 30 June 2016.
B. Prepare an income statement , a statement of changes in equity and a balance sheet.
C. Journalise the closing entries.

2025. Further circulation disallowed.

A. **Worksheet: for the year ended 30 June 2016**

Account title	Unadjusted trial balance		Adjustments		Adjusted Trial balance		Income statement		Balance sheet	
	Debit	Credit	Debit	Credit	Debit	Credit	Debit	Credit	Debit	Credit
Cash at Bank	12 600				12 600				12 600	
Accounts Receivable	11 800				11 800				11 800	
Prepaid Insurance	1 800			(5) 1 340	460				460	
Land	180 200				180 200				180 200	
Building	196 000				196 000				196 000	
Acc. Depn – Building		86 900		(2) 9 600		96 500				96 500
Equipment	32 300				32 300				32 300	
Acc. Depr. – Equipment		8 800		(2) 3 680		12 480				12 480
Accounts Payable		16 400				16 400				16 400
Mortgage Payable		64 000				64 000				64 000
P. Oodle, Capital		236 950				236 950				236 950
P. Oodle, Drawings	86 500				86 500				86 500	
Fees Earned		262 430	(3) 600			261 830		261 830		
Rent Revenue		14 400				14 400		14 400		
Salaries Expense	124 600		(6) 2 360		126 960		126 960			
Telephone Expense	4 520				4 520		4 520			
Interest Expense	3 080		(4) 260		3 340		3 340			
Insurance Expense	36 480		(5) 1 340		37 820		37 820			
	$689 880	$689 880								
Depr. Exp – Building			(2) 9 600		9 600		9 600			
Depr. Exp. – Equipment			(2) 3 680		3 680		3 680			
Interest Payable				(4) 260		260				260
Salaries Payable				(6) 2 360		2 360				2 360
Rates Payable				(1) 4 820		4 820				4 820
Unearned Fees				(3) 600		600				600
Rates Expense			(1) 4 820		4 820		4 820			
			22 660	22 660	710 600	710 600	190 740	276 230	519 860	434 370
Profit for the year							85 490			85 490
							276 230	276 230	519 860	519 860

2025. Further circulation disallowed.

B.

P. OODLE, VETERINARY SURGEON Income Statement for the year ended 30 June 2016		
INCOME		
Fees earned		$261 830
Rent income		14 400
		276 330
EXPENSES		
Salaries expense	$126 960	
Depreciation expense – building	9 600	
Depreciation expense – equipment	3 680	
Telephone expense	4 520	
Interest expense	3 340	
Insurance expense	37 820	
Rates expense	4 820	
		190 740
PROFIT		$85 490

P. OODLE, VETERINARY SURGEON Statement of Changes in Equity for the year ended 30 June 2016	
P. Oodle, Capital – 1 July 2015	$236 950
Add: Profit for the year	85 490
	$322 440
Less: Drawings during the year	(86 500)
P. Oodle, Capital – 30 June 2016	$235 940

2025. Further circulation disallowed.

P. OODLE, VETERINARY SURGEON
Balance Sheet
as at 30 June 2016

CURRENT ASSETS			
Cash at bank		$12 600	
Accounts receivable		11 800	
Prepaid insurance		460	
Total current assets			$24 860
NON-CURRENT ASSETS			
Equipment	$32 300		
Less Accumulated depreciation	(12 480)	19 820	
Land		180 200	
Building	196 000		
Less Accumulated depreciation	(96 500)	99 500	
Total non-current assets			299 520
TOTAL ASSETS			$324 380
CURRENT LIABILITIES			
Accounts payable		16 400	
Interest payable		260	
Salaries payable		2 360	
Rates payable		4 820	
Current portion of mortgage payable*		13 000	
Unearned fees		600	
Total current liabilities			37 440
NON-CURRENT LIABILITIES			
Mortgage payable		51 000	
Total non-current liabilities			51 000
TOTAL LIABILITIES			88 440
NET ASSETS			$235 940
EQUITY			
P. Oodle, Capital			$235 940
TOTAL EQUITY			$235 940

* Current portion of mortgage payable = 13 months × $1 000 per month

2025. Further circulation disallowed.

C.

General Journal
Closing Entries

2016				
June	30	Fees Earned	261 830	
		Rent Revenue	14 400	
		Profit or Loss Summary		276 330
		Close income a/cs to Profit or Loss Summary		
		Profit or Loss Summary	190 740	
		Salaries Expense		126 960
		Telephone Expense		4 520
		Interest Expense		3 340
		Insurance Expense		37 820
		Depreciation Expense – Building		9 600
		Depreciation Expense – Equipment		3 680
		Rates Expense		4 820
		Close expense a/cs to Profit or Loss Summary		
		Profit or Loss Summary	85 490	
		P. Oodle, Capital		85 490
		Close Profit or Loss Summary to Capital		
		P. Oodle, Capital	86 500	
		P. Oodle, Drawings		86 500
		Close Drawings to Capital		

2025. Further circulation disallowed.